



MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2024/2025

THIRD YEAR FIRST SEMESTER EXAMINATIONS FOR THE
DEGREE OF BACHELOR OF BUSINESS ADMINISTRATION,
BACHELOR OF ARTS IN ECONOMICS, BACHELOR OF SCIENCE
IN ECONOMICS AND STATISTICS, BACHELOR OF SCIENCE IN
MATHEMATICS AND ECONOMICS, BACHELOR OF SCIENCE IN
APPLIED ECONOMICS AND BACHELOR OF SCIENCE IN
AGRICULTURAL ECONOMICS WITH INFORMATION
TECHNOLOGY

MAIN CAMPUS

BEC 313: MONEY AND BANKING

Date: 15th January, 2025

Time: 12.00 - 3.00 pm

INSTRUCTIONS:

- DO NOT write anywhere on this question paper
- Answer question ONE and any other THREE questions
- Question ONE carries 25 marks, all other questions carry 15 marks



SECTION A

QUESTION ONE

- (a) Define the meaning of money according to David Collander. (3 marks)
- (b) "Money plays a dynamic role these days and the strength of any financial institution is judged by the soundness of its advances" In the light of this statement, Describe the secondary functions that are offered by commercial banks to its customers in Kenya. (12 marks)
- (c) Explain the following types of accounts that are offered by commercial banks in Kenya;
- i) Current account. (5 marks)
 - ii) Fixed deposit account (5 marks)

SECTION B

QUESTION TWO

- a) With the help of a deposit of Kshs.200, 000 and 20% required reserves, explain the process of credit creation by commercial banks of Kenya. (12 marks)
- b) Differentiate between primary deposits and secondary/derivative deposits. (3marks)

QUESTION THREE

- (a) Differentiate between token money and fiat money. (3 marks)
- (b) "No doubt the system of fractional-reserve banking creates money. But it does not create wealth. When a bank lends a portion of its money, it gives borrowers the ability to make transactions and it adds to the country's money supply". In light of this statement, discuss the various determinants of the amount of total credit that can be created by the banking system. (12 marks)

QUESTION FOUR

- (a) Discuss the advantages of unit banking. (7 marks)
- (b) Describe any eight secondary functions offered by commercial banks in Kenya. (8 marks)

QUESTION FIVE

- (a) Differentiate between a direct loan and an overdraft. (5 marks)
- (b) "A bank makes investment for the purpose of earning profit, and it keeps primary and secondary reserves to meet its liquidity requirements" "In the light of this statement, explain the rules and regulations that are followed by commercial banks when lending money to the customers. (10 marks)

QUESTION SIX

- (a) Explain the meaning of electronic banking (3 marks)
- (b) Describe the advantages and disadvantages of electronic banking. (12 marks)